well below the 90-day benchmark recommended by the International Energy Agency (IEA). "We have been caught napping," says Biswajit Dhar, development economist and former professor at Jawaharlal Nehru University. "How could we not meet the IEA guidelines? In terms of our preparedness, we have a gaping hole."

Higher prices could quickly inflate the country's import bill. "Every $10 (Rs 920) per barrel rise in crude oil prices will increase India's import bill by around $14 billion (Rs 1.29 lakh crore) on an annual basis," says Prashant Vasisht, senior vice-president and co-group head for corporate ratings at the ratings agency ICRA. Last year, India's crude import bill stood at roughly $143 billion (Rs 13.15 lakh crore) when the country imported about 245 million tonnes of oil, equivalent to around 4.7–4.9 million barrels a day.

A related concern is the potential disruption of shipping through the Strait of Hormuz, the narrow waterway linking the Persian Gulf to the Gulf of Oman. It is one of the world's most important energy choke points, handling roughly a fifth of global oil and LNG shipments. Following Iranian threats and the deepening crisis, maritime insurers have withdrawn war-risk cover for vessels operating in the Gulf, bringing cargo movement through the strait close to a halt.

The situation leaves New Delhi in a difficult position. About half of India's crude oil imports and nearly 55 per cent of its LNG supplies pass through this strait. In recent months, India had begun reducing purchases of discounted Russian crude—an otherwise potential hedge during such a crisis—as diplomatic pressure from the US mounted. Even so, Russia remained India's largest supplier as recently as December 2025, accounting for 31.5 per cent of total crude imports. Iraq followed with 24 per cent, Saudi Arabia with 13.8 per cent and the UAE with 11.2 per cent. The stability of supplies from the latter three, however, now appears uncertain. "If there is a prolonged disruption of oil from West Asia, it will be too large to replace entirely," says Vasisht.

"Higher oil prices will be a double whammy for the Indian economy," warns Dhar. Costlier imports will push up domestic inflation, impacting the Reserve Bank of India's targets. At the same time, India's current account deficit (CAD) could widen as the country spends more than it earns, leading to higher inflation, weaker currency and rising foreign debt. "CAD will also be hit by the fall in remittances from Indians living in the GCC countries," he adds.

Around 9.37 million Indians live and work in the six GCC countries. In FY25, Indians living overseas sent home about $135.5 billion (Rs 12.5 lakh crore). Of this, the GCC countries accounted for 38 per cent—$51.5 billion (Rs 4.7 lakh crore)—with the UAE alone contributing a fifth of the total remittances. If economic activity in the Gulf slows because of the conflict, those flows could thin out fast.

On the diplomatic front, just days before the outbreak of hostilities, Prime Minister Narendra Modi held a bilateral meeting with his Israeli counterpart, Benjamin Netanyahu—a move many observers interpreted as signalling a firmer tilt by New Delhi toward the US–Israel strategic axis. While India has steadily deepened defence, technology and intelligence cooperation with Israel over the past decade, the optics of the meeting so close to the conflict have raised questions if India's long-standing diplomatic balancing act in West Asia is becoming harder to sustain.

Pragmatically, however, India's most vital economic stakes lie across the GCC states—particularly in energy security, trade and the welfare of millions of Indian expatriates living in these countries. As tensions escalate, analysts say the meeting has intensified scrutiny of whether India can continue its carefully calibrated engagement with all sides, or whether geopolitical pressures may force a clearer alignment in the region. ■

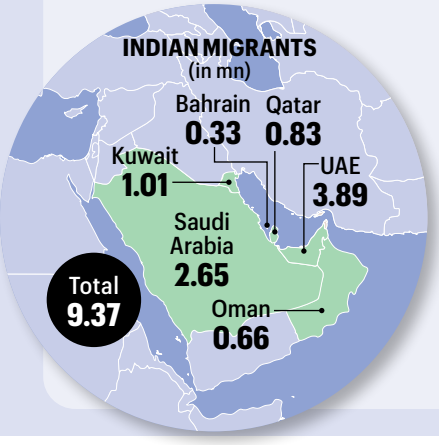


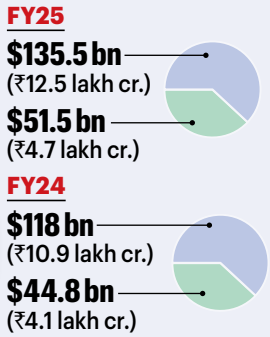
DIPLOMATIC TIGHTROPE
PM Modi with Netanyahu in Israel, Feb. 25

The war raises the question: Can India continue its calibrated engagement with all sides or will geopolitics force a clearer alignment?

THE REMITTANCE LIFELINE

Money sent home by the 9.37 million Indian migrants living in the Gulf Cooperation Council (GCC) countries accounts for 38 per cent of India's total remittance inflows





Sources: GoI, RBI